

“GST cut is the manifesto of 1.4 billion Indians”

Finance Minister Nirmala Sitharaman
on GST rate cuts, lessons from Covid-19, and more

BY TEAM BT

12 |

N

Nirmala Sitharaman stands as a pillar in India's economic leadership, being the country's first Union Finance Minister to have presented eight consecutive Budgets. Her stewardship has been marked by resilience, vision, and transformative policy-making in the face of unprecedented challenges, including to the Covid-19 pandemic. Soon after the GST (goods and services tax) Council meeting, the finance minister attended an India Today Group multi-city townhall on the GST reforms. Edited excerpts of the interaction moderated by Sweta Singh and Marya Shakil:

SINGH: Is GST finally a good and simple tax?

A: Absolutely, it is good and it is simple, no doubt. Because before GST came, every state had its own laws—excise duty, value-added tax (VAT), some state-level cesses, some local taxes. All such taxes were brought together to form the GST. At that time, [pre-GST] each state had a rate for an item; while implementing GST, the rate for any one item pre-GST was kept in mind and, during the introduction of GST, the rate was fixed with only a little movement to one side or the other. So, no pre-GST rate was too far away from the rate fixed under GST. That is why GST rates were kept close to earlier ones: an item near 5% pre-GST (whether 4%, 5% or 6%) went to 5%; if it was near the 12% rate (10%, 12%, 13%, 14%), it came to 12%, and so on. Today, I am surprised when the Opposition says that while implementing GST you kept the rates high, and now in the name of reform you've lowered them.

Those rates were not our free-will rates. We brought in whatever existed before.

SHAKIL: The Opposition also claims the changes are eight years too late. The timing, as always, is being questioned.

A: This country could have had GST even in the 1960s. It wasn't done. Not even when Pranab Mukherjee repeatedly spoke about it for 10 years. In fact, I remember as a BJP party spokesperson,